



Teaching case

KBC mobile banking

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Abstract

When KBC Bank introduced their mobile banking application in 2011 they delivered much more than a piece of software. Mobile banking was a way to focus on their customers and rebuild trust. Yet, this case is not so much about what they delivered but how they delivered it. Agile development brought along both challenges and opportunities for KBC. The case explores how agile compares to traditional ways of ICT development. Can banks, given the new digital challenges, really build their future ICT portfolios on agile development?

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Introduction

KBC bank HQ. February 2011. One rainy Friday afternoon in Belgium.

And now for something completely different ...' The famous Monty Python phrase was the first thing that crossed Dirk Cuypers' mind as he reached for a capsule to put in the coffee machine. Dirk, Director of Direct Channels at KBC Bank, had just come out of a meeting. Adrenaline was still pumping through his veins, so Dirk chose a red capsule – decaf. He sat down for a minute to think about the conversation he just had with Johan Thijs, his boss and General Manager of Business Unit Belgium.

Recently, the bank's management committee had invited Dirk to their big annual strategic offsite to present his views on banking tech trends. Following the meeting, he was charged with delivering a technology innovation that would put KBC back on the map. Speed was one thing, but the 6-month deadline that the management committee imposed was really speedy by KBC norms.

Today Dirk met with Johan to discuss next steps. Johan had been very clear:

This needs to be ... well ... something different, OK? We really need this. I'm counting on you for this one. Good luck and remember the one rule I asked you to follow, OK? Deliver this project outside of the existing ICT governance. If you need anything, just come and see me.

'We want to focus more on innovation,' Johan had said today, reiterating the management committee's message *from the offsite*.

You and your team select which technology innovation can best help us to get back on track; something we can build upon later. We want to send out a positive signal to clients and employees in these turbulent times; one that says that we are changing and looking ahead.

Dirk took a deep breath as the coffee machine delivered his cup of decaf. The 'one simple rule' Johan had told him was to stick to one simple rule: *to deliver this project outside of the existing ICT governance*. It was time do something – something different.

About KBC bank

KBC Bank was part of Business Unit Belgium. With about €262 billion in assets on its balance sheet and a Tier-1 ratio of 12.5% (end 2012). Business Unit Belgium had a net result of roughly €1 billion. Elsewhere around the globe, KBC bank had established a presence in selected countries and regions.

KBC Bank concentrated on its home markets of Belgium (population: about 11 million) and four core countries in Central and Eastern Europe (Czech Republic, Slovakia, Hungary, Bulgaria) and had a presence in several other countries. KBC provided bank, insurance and wealth management products, and services to retail customers, private banking clients and mid-cap/SMEs. Table 1 provides an overview of KBC Group's main financials. One of the 30 largest banks in Europe in terms of assets, KBC had more than 37,000 employees and more than 9 million clients. Market share in Belgium was 18–25% for the main banking products and more

Table 1 KBC Group financials (2007–2012)

<i>KBC group financials</i>	2007	2008	2009	2010	2011
<i>Consolidated income statement according to IFRS (in millions of EUR)</i>					
Total income	9 802	4 827	4 625	8 378	7 310
Operating expenses	–5 219	–5 600	–4 779	–4 436	–4 344
Impairment	–267	–2 234	–2 725	–1 656	–2 123
Net result	3 281	–2 484	–2 466	1 860	13
Earnings per share	9.46	–7.31	–7.26	3.72	–1.93
<i>Ratios</i>					
Return on equity	21%	–18%	–23%	12%	–6%
Cost/income ratio (banking)	57%	64%	55%	56%	60%
Tier-1 ratio	8.8%	8.9%	10.8%	12.6%	12.3%
Total assets (in millions of EUR)	355 597	355 317	324 231	320 823	285 382
<i>KBC share</i>					
Average share price that year (EUR)	95.8	65.2	20.9	32.6	22.3
Gross dividend per share (EUR)	3.78	0.00	0.00	0.75	0.01
Equity market capitalization (in billions EUR)	34.2	7.7	10.9	9.1	3.5

than 35% for asset management funds. KBC's dense branch network in Belgium included almost 1000 retail, private banking and insurance branches (more than 750 were retail bank branches).

In 2010 a strategic program was launched to optimize KBC's commercial network in Belgium, with the goal of safeguarding KBC's strong position within a highly competitive and constantly changing environment. KBC made a three-fold commitment to its customers:

1. Provide relationship management services that are tailored to their needs
2. Offer customized expertise in a convenient manner
3. Enhance proximity and accessibility using their multi-channel network

The bank's website occupied an important channel for KBC, emphasizing particular customer groups. Various sales applications were added to the website in 2010, and thousands of share and fund transactions were carried out on it every month. More and more applications were submitted for loans, accounts, cards and insurance via the website, which counted more than 20 million page visits a month, by about 2 million unique visitors.

Alongside the standard website, a mobile site (m.kbc.be), launched in 2010, was accessible to a wide range of smartphones.

The financial sector experienced a fierce crisis of confidence worldwide from 2008 to 2011, during which time KBC received government support. Regaining eroded customer trust and building customer loyalty was a major challenge, and Johan Thijs (in February 2011) had emphasized the critical need to change the corporate culture:

We are passionate about becoming the customer's reference for bank-insurance in our core markets. That's why we've adapted our strategy and committed ourselves to a clearly articulated

corporate culture. We intend to become more innovative and more efficient, and hence more competitive. KBC will adapt itself not only to the changing attitudes of its clients, but also to the legitimate expectations of society at large.

'Know your customer' had long been the guiding principle underlying the bank's Customer Relationship Management (CRM) systems. At the heart of the CRM-systems was a collection of customer and sales databases, built over time from 1999 to 2011 (Figure 1). When a KBC bank customer walked into a branch in 2011, all branch personnel – from tellers to expert advisors – had instant and convenient access to the following customer information:

- all administrative information
- customer's entire multichannel history, that is, when and how a customer came in contact with KBC (phone, branch, website, contact centre, ...) and the outcome of each contact
- whether customer was part of a target group for a running campaign
- customer segment information
- prospective value of each customer for the bank
- the bank's 'To Do's' for a customer for work-in-progress
- commercial opportunities based on lifetime events (e.g. just married, new baby arrived, first home purchase, death of a relative, about to retire, ...)
- next-best offers to discuss with a customer based on profile scores for various products (accounts, cards, credits, pension plans, savings products, ...)

KBC ICT organization: 'your ICT, our business'

The ICT arm of KBC's Shared Services and Operations (SSO) business unit provided services to all of KBC (Figure 2). It used to be one department composed of six divisions, all reporting to one CIO. In 2011, the department was disbanded into three parts, to separate demand from supply roles in ICT

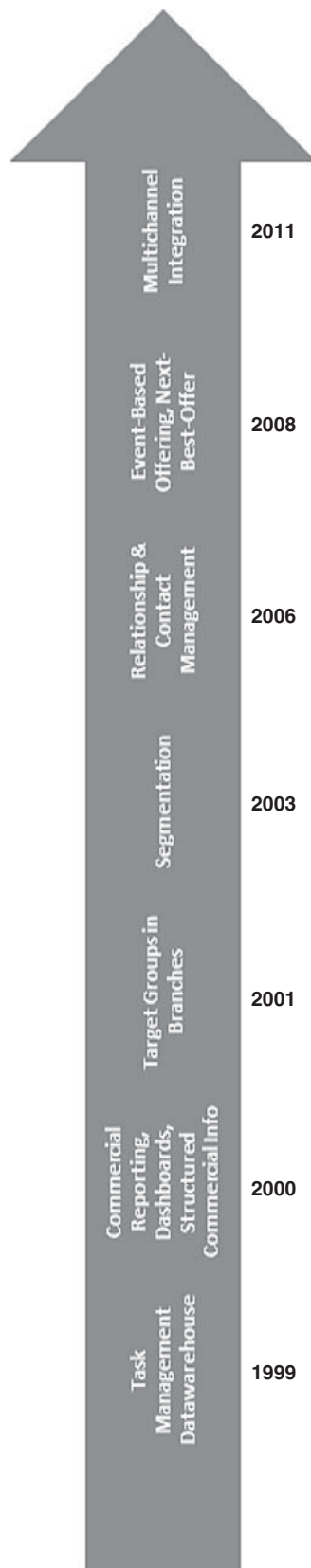


Figure 1 KBC'S customer and sales databases.

and to make each part a more manageable size. Now three ICT organizations were located within the SSO business unit:

- ICT create & maintenance – CIO services
- ICT infrastructure & technology – CTO services
- ICT organization & support – Support services

KBC ICT in Belgium accounted for 2000 people in 2011; another 2000 were active in Central and Eastern Europe to support local activities in these countries. Most programming work was handled by Valuesource, a 300-employee Indian company owned by KBC.

The KBC ICT slogan – 'Your ICT, Our Business' – summarized the ICT governance setup at KBC:

- 'Your ICT': business managers determined the 'what' and 'why' of investments in ICT, whereas ICT managers took care of the 'how' and 'who'. Business units were expected to take ownership of applications and bear responsibility for ensuring optimal usage
- 'Our Business': implied involvement, engagement and running ICT as a business

Involvement of Business and ICT during a project was structured in three phases (Figure 3):

1. Work preparation
2. Work execution
3. Production

Each phase came with a particular workload and division of work between Business and ICT. During work preparation, Business was asked to identify, define and specify a business idea (a high-level business case). This phase aimed at enabling the systems and infrastructure teams to link their work to a focused set of business information needs and processes. Thus Business articulated what they wanted to do, why this was needed, how they wanted to change the organization and the work needed to get there. A lot of emphasis was put on specifying the likely impacts on business processes. ICT also needed to make a first high-level study, in which they addressed the following questions based on Business' input:

- Are there possible synergies with other ICT investment projects/programs?
- What is the most important information needed?
- Which systems will be impacted?
- Is this idea possible with the existing ICT infrastructure?
- Can we use standardized technology and infrastructure?
- Can it be componentized?

On the basis of this information, Business and ICT together estimated the business, information, technology resources and budget needed for the project. Using information economics principles, the combined Business/ICT team evaluated each project proposal by weighted scoring on several dimensions: financial impact, architectural complexity, creation of management information, strategic match, competitive necessity and risk factors.

The project proposal was then ready to go through a project prioritization process, in which it would compete against other proposals. There were four categories of projects, and each project was prioritized against projects in the same category:

- legal or board mandated
- maintenance

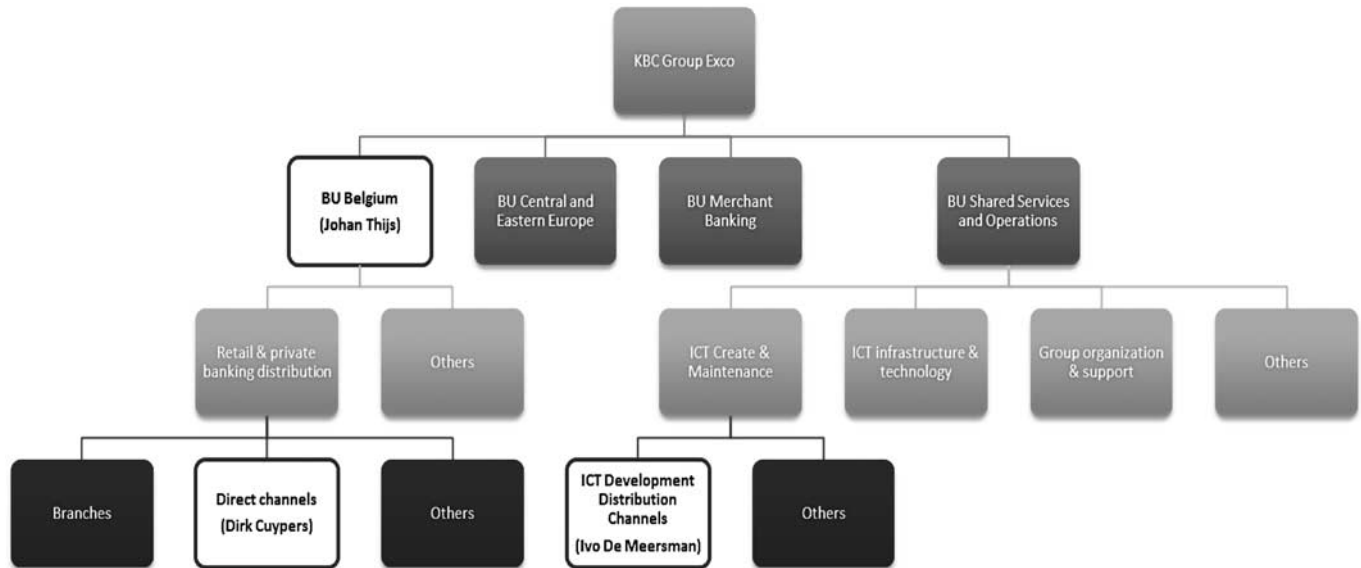
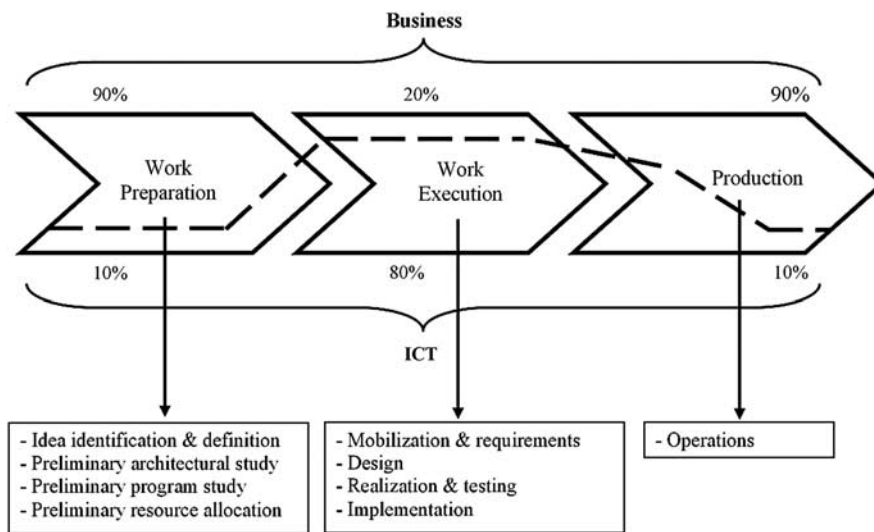


Figure 2 KBC group structure.



The percentages give an indication of the work distribution in the different engagement phases

Figure 3 The business/ICT project engagement model.

Note: The percentages give an indication of the work distribution in the different engagement phases.

- continuity
- strategic

Selection and prioritization entailed formalized decision-making processes, roles and responsibilities, and communication mechanisms at different levels in the organization. The aim was to allocate the ICT budget and resources in the most effective way. Both Business and ICT were represented at every level. Depending on the nature of the decisions at stake, either ICT or Business took a leading position in the decision making.

Once every quarter, in an ICT project prioritization exercise, new and ongoing investments were evaluated. ICT and Business planning cycles were synchronized to secure

alignment between Business and ICT decisions. The collaborative Business and ICT decision making built into the project selection and prioritization made both sides responsible and accountable for the success of the ICT project portfolio.

At the highest level, KBC's ICT architecture specified a 3-role enterprise model (Figure 4). This view enabled the conceptualization and design of systems that aimed at loose rather than tight coupling between three enterprise roles: *distribution, product factories and company management*. It visually represented the choice of an operating model at KBC, indicating the separation between front-end (distribution), back-end (product factories), and management and

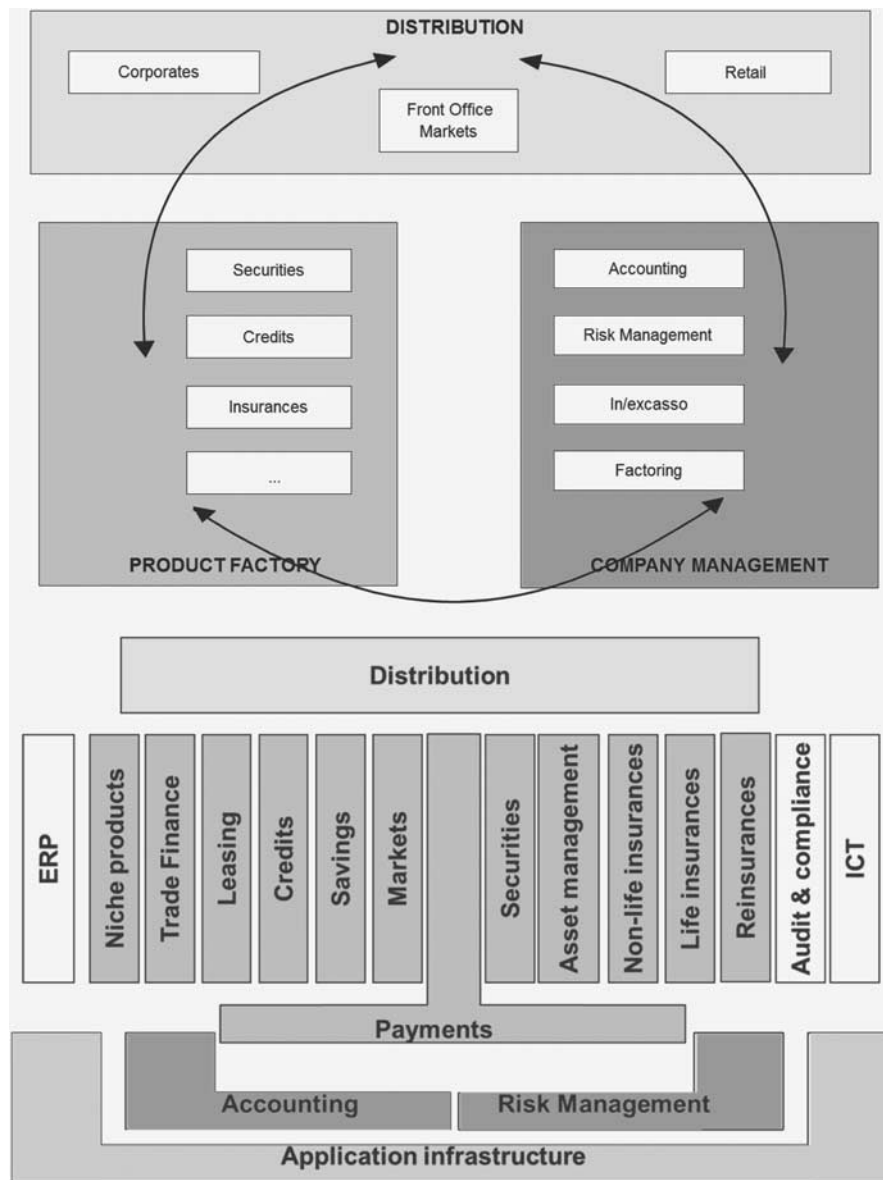


Figure 4 Architecture – KBC 3-roles model and landscape overview.

support (company management). KBC used the 3-role model to logically identify and organize the high-level capabilities required to run its business. Each project proposal was screened for its enterprise impact, per the 3-role model capability architecture.

The architectural review for each proposed project was summarized in KBC's Work Preparation Framework (WPF – Table 2), composed of multiple layers representing different views (conceptual, logical and physical) of a proposed new system. Each layer noted aspects that needed to be considered (e.g. business, information, security). This logic of separating views and concerns architecturally was further developed while a project progressed through its project lifecycle and its systems were developed.

Going mobile

The management committee wanted 'A *technological innovation that shows we are looking forward, with a laser-like focus*

on our clients.' No one told Dirk what exactly that innovation should be, but it needed to make an impact; it should not be merely a shiny new idea or gimmick.

Dirk decided his project should further capitalize on and contribute to the bank's strategic commitment to customer focus. Payments seemed a logical domain, as most customers made payments on a regular basis. Also, this was a major battlefield of innovation in financial services.

Dirk Cuypers had a number of good reasons to choose a mobile banking app. The banking landscape had changed significantly in the last couple of years. The financial crisis had hit European banks particularly hard, and customer trust and loyalty that had been carefully built over decades had evaporated in no time. Governments had to intervene to save the global financial system. Many banks, either voluntarily or involuntarily, had to reshuffle their portfolio of activities in order to adapt to the new regulatory environment. Meanwhile, non-traditional players bidding on the disruptive potential of new digital technologies, began to unsettle the financial

Table 2 Architecture – KBC'S work preparation framework

<i>Contextual</i>						
	<i>Business</i>	<i>Information/knowledge</i>	<i>Information systems</i>	<i>Technology infrastructure</i>	<i>Security</i>	<i>Service management</i>
	Structures the required business activities	Structures all required information processing	Covers the automated support that contains business logic	Covers the automated support that does not contain business logic	Covers that part of the structure which provide a secure and save environment	Covers that part of the structure which enables a stable, changeable and maintainable environment
<i>Conceptual</i> What do we want to change? Determine requirements	<i>Purpose</i> What is the its business and its interaction <i>Sample outcome</i> Actor roles, business service (check client creditability, control quality)	<i>Purpose</i> What are the information processing requirements and interactions <i>Sample outcome</i> Information services (customer personalia and product description and support 'marketing')	<i>Purpose</i> What automated functions are required and what is there interaction <i>Sample outcome</i> IS service, interdependencies, IS security needs	<i>Purpose</i> What infrastructure services are required and what is their interaction <i>Sample outcome</i> TI services (image processing service)	<i>Purpose</i> What is the required level of security and how does it fit the business <i>Sample outcome</i> security services (Authentication, integrity)	<i>Purpose</i> What operational services are required and what is their interaction <i>Sample outcome</i> SM services (Performance, availability)
<i>Logical</i> How can we realize this? Architecture long term solution	<i>Purpose</i> How is the business (ideally structured) <i>Sample outcome</i> Business components (order handling process) collaboration contract (complete process in 3 days)	<i>Purpose</i> How is information (ideally structured) <i>Sample outcome</i> Information clusters (high level data group)	<i>Purpose</i> How are the IS systems (ideally) structured <i>Sample outcome</i> IS components (customer access component, order Mngmnt component)	<i>Purpose</i> How are the boxes and wires (ideally) structured <i>Sample outcome</i> TI components (workstation components, GUI components)	<i>Purpose</i> How are the security related systems (ideally) structured <i>Sample outcome</i> Security components (DMZ, PKI infrastructure) component collaboration (U-models)	<i>Purpose</i> How are the governance functions (ideally) structured <i>Sample outcome</i> SM components (incident registration accountability area) component collaboration
<i>Physical</i> With what can we realize it? Architecture short term solution	<i>Purpose</i> Which part of the business will change <i>Sample outcome</i> Organization, staff, business guidelines en standards	<i>Purpose</i> Which manual and automated process need to be linked <i>Sample outcome</i> Information flow and collaboration information guidelines	<i>Purpose</i> Which packages reuse and bespoke software products <i>Sample outcome</i> Development definitions and products, design guidelines, IS standards	<i>Purpose</i> Which hardware, systems software and network devices <i>Sample outcome</i> TI products, TI standards, product collaboration model, implementation guidelines	<i>Purpose</i> Which products and security polices <i>Sample outcome</i> Implementation guidelines, standards, white spots	<i>Purpose</i> Which procedures are needed <i>Sample outcome</i> SM standards, implementation guidelines

Note: Obtain understanding of the architecture study context. Key results Objectives, Architecture Scope, Constraints, Stakeholders, Roadmap and Architecture Principles

industry. Smartphone and social media usage had become commonplace, and there was a broad consensus that mobile technologies would lead the charge in disrupting traditional banking business models.

Each of KBC's main competitors in Belgium – BNP Paribas Fortis, ING and Dexia – had already launched a mobile banking application. Even more worrisome to Dirk Cuypers were the moves by non-financial industry players, such as technology giants, retailers, telco companies and financial technology startups. When companies like Google obtained banking licenses, and Apple and Belgacom (Belgium's main Telco) announced financial products and services, competition took on a totally different meaning. Dirk was convinced that these new entrants had an edge over traditional banks when it came to creating appealing digital customer experiences. Banks had never been that strong in making their customers' lives easy or hassle-free, whereas companies like Amazon and Apple had grown by reinventing convenience in the digital space; customer service innovation was part of their DNA. Furthermore, these non-traditional competitors were collecting lots of data which would allow them to be more innovative and customer intimate than any bank thus far.

Dirk realized that to build something new in just 6 months, he needed good partners. First, he contacted Ivo De Meersman, General Manager ICT Development for Distribution Channels. Ivo and Dirk had previously worked together in ICT and Ivo has always been a great sounding board. Dirk pitched his idea to Ivo as follows:

Our aim is to be top of mind when it comes to financial decision-making. Customers should think KBC rather than tech provider. This is ultimately a fight for the better customer experience. If we cannot be as convenient as our digital competitors, I'm afraid that we will lose control of the entire value chain. I do not plan to become the back-end processing capability for some new digital entrant like Google or PayPal that would claim ownership of the customer experience! Also, we'll need to be just as able to follow around the customer in the digital space as Google or Facebook. We need to be able to capture that data and analyze it in order to stay top of mind and continuously innovate our service concepts.

Ivo was enthusiastic:

Great, I am on board. We are already lagging behind; things are changing fast out there. We have to get our act together. Your six month deadline is a challenge for sure. You know our ICT organization as well as I do; when was the last time we got an ICT-intensive project delivered within a year? How will you ever deliver in 6 months?

Dirk agreed with Ivo, but added: 'I have a few ideas. It will require us to do things differently, though.'

Ivo looked concerned:

How differently? You know what our CIO used to say: 'ICT at KBC is a well-oiled machine that requires discipline in preparation as well as in execution. The governance works and we build on solid architectural foundations.' You know that.

Dirk replied, 'True.' He was well acquainted with KBC ICT's structured, formalized way of working, since he had worked as

a developer, ICT project manager, program manager and ICT architect at KBC before he took on his current role. Thus, he understood why the current ICT governance and architectural way of working was in place. However, for his project, Dirk Cuypers had another approach in mind.

Our traditional governance is a slow, complex, very formalized and bureaucratic process. Johan is fed up with the restraints it imposes on our work. He feels it kills our staff's energy, entrepreneurial spirit and creativity, and I agree. Besides, I need to go faster. I need an impact in 6 months, not one year.

Going agile

On a cloudy Tuesday afternoon in March 2011 Dirk Cuypers met with Johan Thijs at KBC Bank's headquarters in Belgium. After exchanging pleasantries, Dirk got right to the point: 'You told me that if I ever needed anything I should just ask ...'

Johan replied, 'Sure. I hope you already have an idea what the project will be about?' 'Yes,' said Dirk.

Mobile banking; something people actually will use on a daily basis; something that has added value for a large number of our clients. So, payments seems a logical choice, plus, we are lagging behind; our major competitors already offer mobile banking apps.

'Sounds great!' said Johan Thijs. 'So how can I help you, Dirk?'

I need your support, and I need freedom. I think we can deliver in four months' time without compromising quality, security or risk –but only if I can get rid of the ICT governance straightjacket. For this project I need a radically faster and more flexible way of working.

Johan Thijs smiled: 'Great! Remember what my one and only rule was?'

Do not follow the existing ICT governance cycle. I want to introduce a new way of working in Business Unit Belgium. Our current way of working is slow, indecisive, over-formalized and rigid. You know what, Dirk? You and your project get a ticket to a fast lane. Here are your only two constraints: you know the timing and you know the budget. The rest I leave up to you. Run this project like you would run your own startup. If you encounter problems, just come to me to discuss them and I will make sure you will not be held back. Let's make this an example of a new way of working. Any idea yet on how you will get started?

Dirk was ready with an answer: '*Absolutely! I will start by forming a multi-disciplinary project team.*'

What I want to avoid is what I call 'train station decision-making'. You know this: Whenever we have some result, the train just moves to the next stop. ICT, legal, marketing, risk – this halts the train for days, or weeks, before it can proceed. I want to fundamentally reduce lead time, go for fast problem detection, and flexible engagement with the stakeholders.

So: agile ... but not to the detriment of quality! I will include some of the most 'skeptical' risk managers on the team. I know that if they are OK with what we are doing, we are good.

Johan stood up to indicate the meeting had come to an end, stating with a broad smile: *'Well, I already look forward to seeing how this project will go. Good luck!'*

Project governance

Dirk formed a steering committee comprised of key stakeholders. Next, he assembled a team with representatives from various departments: strategy, distribution, risk, legal, marketing and ICT. Team members were expected to function as equal partners. All would be involved for the whole ride, from kick-off through delivery. Dirk gathered them all together in a room for the project's duration. He reasoned that since there was no time to waste on this project, it would save time to have team members close by when needed. Discussions were anticipated to be frequent, intense and ad rem.

The team had two project leaders, one from Business and one from ICT. They worked side-by-side, without hierarchy among them. Their primary duties were to coach the team forward and interface with the steering committee. The project leaders were told that rather than driving the project, they should facilitate the team's work and coach for progress toward a desirable result.

During the project, daily status discussions, involving the whole team, were kept short and focused on the immediate progress of the project. Every week, the steering committee evaluated progress and discussed upcoming goals.

The discipline Dirk instituted for the project was to make sure that the following objectives were met:

- Short lines and intense interaction between Business and ICT
- Cross-fertilization of ideas
- ICT gains business, customer, market understanding and affinity
- Business gains understanding of technical possibilities, opportunities and limitations
- Fast throughput times from idea to solution. Multiple fast iterations are possible
- Problems, limitations, bottlenecks but also possibilities and opportunities become visible and are dealt with swiftly in the development process

The first thing the team needed to do was to agree on a set of guiding principles for the project, capturing their beliefs about how to proceed toward a successful customer concept:

- We want to address a large customer base
- User-experience and convenience prevail over technical decisions
- User stories/cases are our starting point
- We will include a distinctive new service that addresses a real customer need
- We get inspired by other popular apps, not by other banks
- We build and leverage the strengths of our existing ICT platform

Customer experience

Dirk was convinced that customers chose the channel, and KBC had to accommodate:

They had to want to use the channel experience we offered. When it came to the use of digital channels, we needed to have a strong focus on convenience. No compromise on front-end ease-of-use.

Creating a native experience for every particular digital platform was a must. Providing merely satisfactory functionality in a mobile application would not be sufficient. Creating an appealing experience meant leveraging the specific affordances of every device-platform combination. In other words, mobile banking was not merely a browser-based PC banking on a mobile device. A smart-phone was not a tablet, and iOS was not Android. The specific features of each platform had to be leveraged to maximize customer experience, convenience and handling. For each platform, customer feedback would lead the way.

The team wanted to hear the customer's voice early on and frequently during the life of the project. They did not want to create a me-too product. Instead, popular mobile applications of all types and sectors were used for inspiration (e.g. Angry-birds, Dropbox, Onenote, Flipboard, Facebook, Twitter) and to help the team understand what customers really enjoyed.

The team learned very quickly that customers wanted extremely fast results: service in at most three or four taps/swipes. Customers hated extensive textual input and expected a truly distinctive experience.

During the project the team acquired a lot of direct input from customers through client panels and usability labs. In a first stage a panel of KBC employees (all of whom were also KBC customers), was used. In a second stage a panel of non-employee customers, representing different age groups, regions and customer segments were confronted. Customer feedback was directly injected into the development process. The team had to return to the drawing board several times, to integrate this customer feedback about usefulness, ease-of-use and customer appeal.

Launch of the KBC mobile banking apps

In October 2011, a native mobile banking app for iPhone, Android phone, iPad and Android tablets was released. Each version leveraged the user experience germane to that platform. Simultaneous deployment for each device-platform combination was a conscious choice that allowed KBC mobile banking to go mainstream from the start, accommodating customers' device choices, and maximizing the mobile banking solution's market potential.

Customer consultation during development had clearly shown how impactful tuning the application's form, function and feel to the specific digital device was to create the right customer experience. For example, smartphone apps behaved differently than tablet apps, even though they basically supported the same banking functionality. The tablet experience benefited from the use of the app in landscape mode. Also, because of their screen size tablets offered very convenient use of drag-and-drop for executing money transfers.



Log on to KBC Mobile Banking.



Enter the amount you want to receive. This creates a scash code. If necessary, you can also mail the payment instruction to non-KBC customers or people who don't have a smartphone.

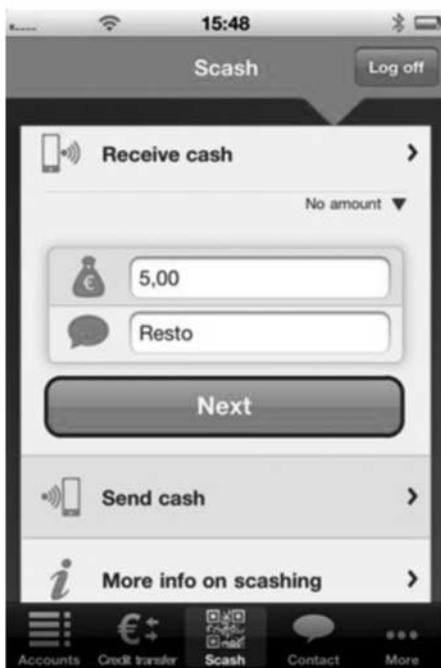


Get the person making payment to scan the scash code into their smartphone using their KBC Mobile Banking app.



Payment is instant.

The scashing process



Scashing screenflow with instantly generated QR-codes

Figure 5 Mobile banking app.

The specific mobile banking services offered by KBC included:

- Contacting your branch or insurance agent
- Checking bank account and credit card balances
- Money transfers to KBC and non-KBC accounts
- Scashing (i.e. real-time person-to-person QR-based payments between KBC accounts)

Dirk was proud his team had come up with 'scashing' to enable real-time mobile person-to-person payment using QR codes. Scashing, the mobile banking application's showpiece, was a unique service for person-to-person payments between KBC account-holders. The term 'scashing' was coined by the team to convey a combination of *scanning* and *cashing*. This functionality was unique on the Belgian market. The scashing process went as follows:

- Log on to the KBC mobile banking app on your mobile device to scash

- Select whether you want to receive or send money
- Enter the amount you want to receive or send
- A unique scash code (i.e. QR code) is created, containing your account information, the nature of the transaction (i.e. send or receive), the amount involved, and an optional description or message associated with the transaction
- Get your counterpart to scan the code using the camera on his mobile device using the KBC mobile banking app, and sign off digitally on the transaction

Figure 5 illustrates the scashing process. 'Real-time' meant that payments were executed immediately and each customer's account information was also updated instantly (i.e. the amount was transferred in real-time from a sender's account to a receiver's account). This enabled a truly transparent multi-channel customer experience. Fortunately, a real-time inter-KBC account transfer capability was already available as an IT service component in KBC's existing payment infrastructure, so

the team was able to incorporate this functionality without too much effort into this mobile service.

Scashing was able to avoid reliance on a mobile wallet. Most of KBC's competitors could not support real-time transfers on their IT payment platforms, and no competitor offered a comparable real-time peer-to-peer mobile payment functionality. Some competitors used mobile wallets for their peer-to-peer mobile payments. With the wallet approach customers linked accounts, debit or credit cards to a mobile payments wallet. To make a mobile payment the linked account or card was charged for the transaction. In contrast to scashing, existing wallet solutions could not provide real-time money transfer or immediate account updating.

An agile future for KBC?

In February 2012, Johan Thijs invited Dirk Cuypers to his office once again – this time, to discuss how to scale the type of agile development that Dirk had employed for the mobile banking apps to the rest of the organization.

Dirk knew that Johan was pleased with the rapid adoption rate of the new mobile banking apps. Now, preparing to meet with him, Dirk wondered: The approach his team used to develop the mobile banking suite of applications was quite different from other ICT-intensive projects at KBC. Could this agile way of working be used for all KBC ICT-intensive projects from now on? Or would that be too ambitious? How could they maintain momentum?

About the authors

Bjorn Cumps is Professor of Management Practice at Vlerick Business School. He obtained his master degree in

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